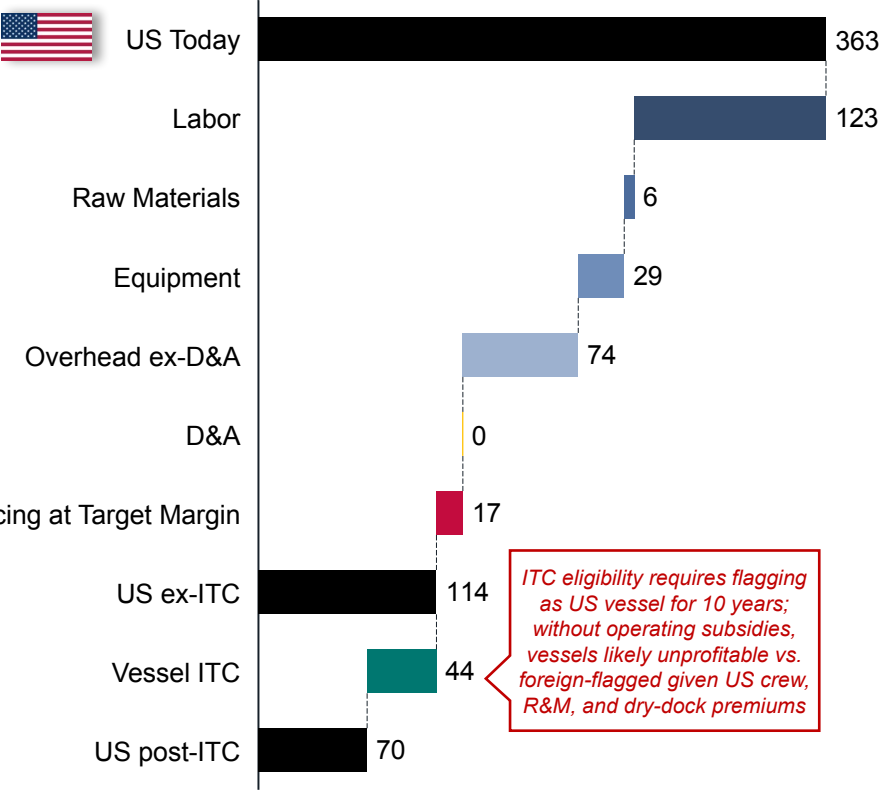


Bridge Charts (1/2) | Title...

Newbuild Price Reduction Levers
(\$M, '25E, for 3,600 TEU containership)



ITC eligibility requires flagging as US vessel for 10 years; without operating subsidies, vessels likely unprofitable vs. foreign-flagged given US crew, R&M, and dry-dock premiums

Reduction found by subtracting 2035 costs (in real 2025 \$) from 2025 costs for Labor, Raw Materials, and Equipment categories; same approach used on following pages
"US Today" represents Aloha-class vessels under construction at Hanwha Philly

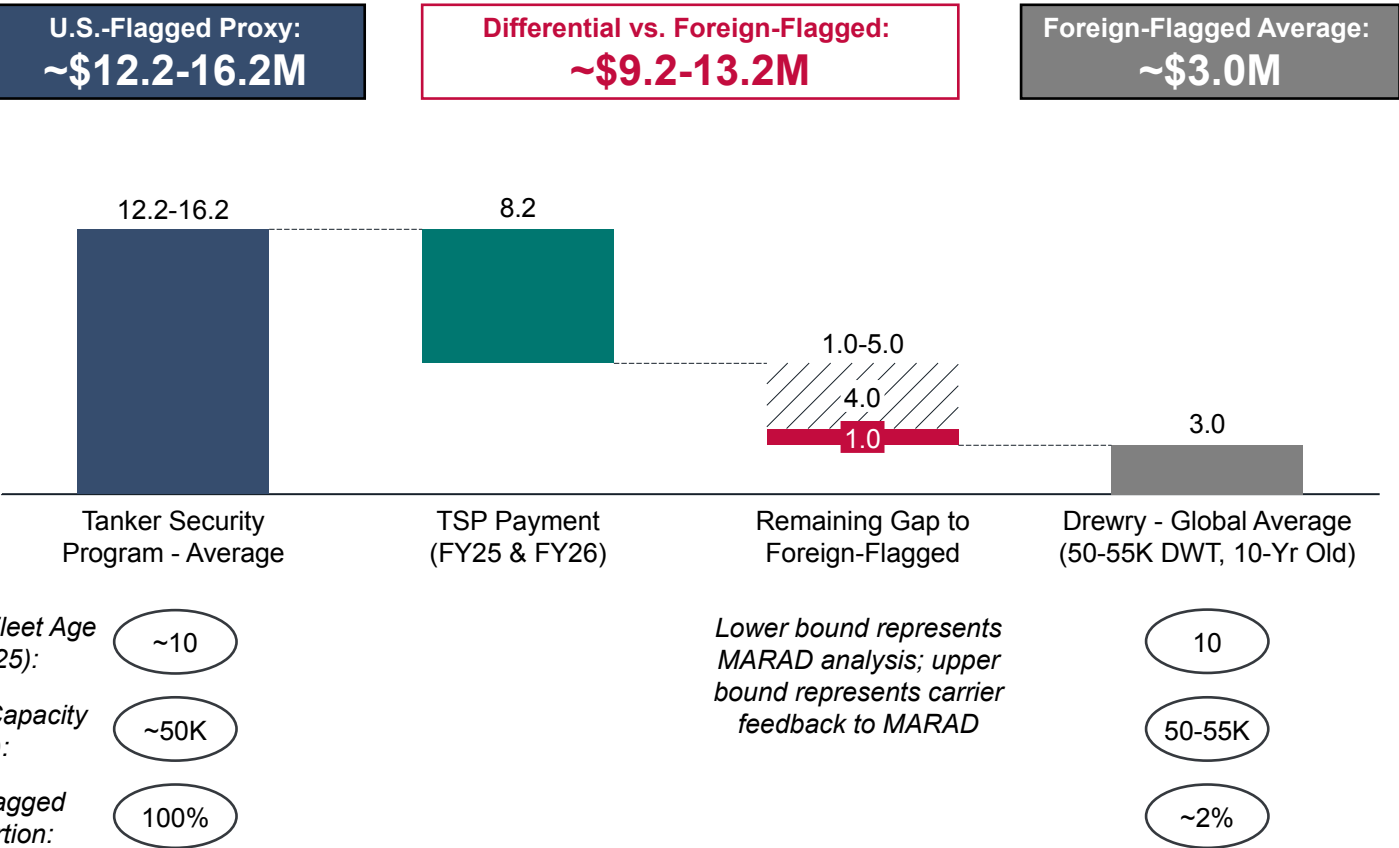
Cost Category	Reduction vs. US today	Rationale	Drivers	
			BuildCo	Policy
Labor	~85-90%	- Productivity reaches 10 manhours per compensated gross ton, surpassing global best-in-class yards (mid-teens in ROK) - Unlocked by fully robotic welding, automated block assembly, outfitting, and painting and coating enabled by developing greenfield site; Experience curve driven by USG-generated demand (SHIPS Act)	✓	✓
Raw Materials	~25-30% ¹	- Steel cost reduced ~10% (2035 values) - Achieved via contracted offtake w/ mills that warrant steel producer investment in mill efficiency, enabled by USG policy	✓	✓
Equipment	~35-40%	- Procurement cost reduced ~35%, in line with current Japan costs after including transport / OEM support fees (2035 values) - Achieved by purchasing equipment from Japan; SCF vessels not required to have US-manufactured parts	✓	✓
Overhead ex-D&A	~70-75%	- Non-Production headcount reduced by 40-45%; professional services, legal, and marketing spend cut by ~50-80% - Gain over US today also attributable to overhead spread across more hulls (25/yr) vs. Hanwha Philly (low single digits)	✓	
D&A		Impact of shipyard ITCs accounted for in Repricing at Target Margin line as Hanwha Philly's D&A is not disclosed		n/a
Repricing at Target Margin	n/a	Targeting 5% EBIT margins in line with US builders today	✓	
Vessel Investment Tax Credits	n/a	40% price reduction for vessel owners - Achieved by tax credit eligibility extension beyond '32		✓

Note: (1) Raw material prices expected to see slower growth (~1% CAGR) than deflator 2.5%, driving differential between steel cost cuts and reduction vs. US Today | Source: Building Ships in America; FRED (PPI, BE Inflation); S&P (Current and forecast prices, FX rates, US trade volumes and destinations); Clarksons (Orderbook); Market participant feedback (Service life, build assumptions); FMI (Labor hours); Internal estimates

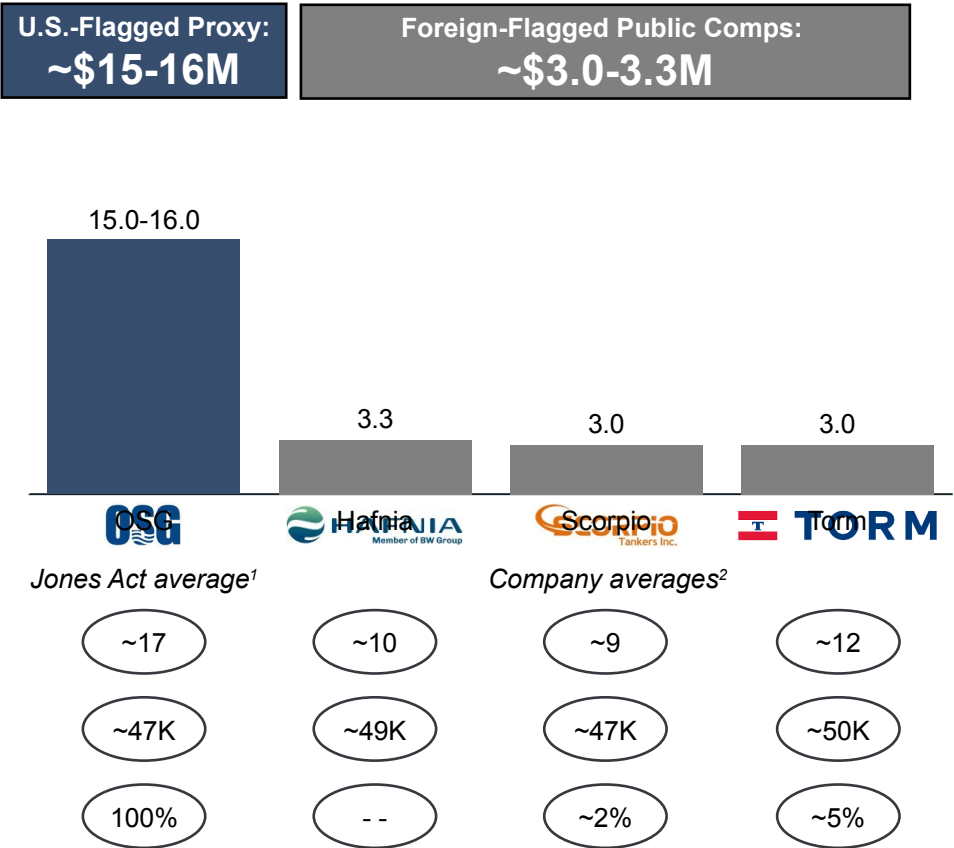
Bridge Charts (2/2)

Note: MR tankers shown given lack of LR1 product tankers in US-flagged fleet

Annual Opex for MR Product Tankers (\$M, '25E, excludes D&A and voyage expenses)



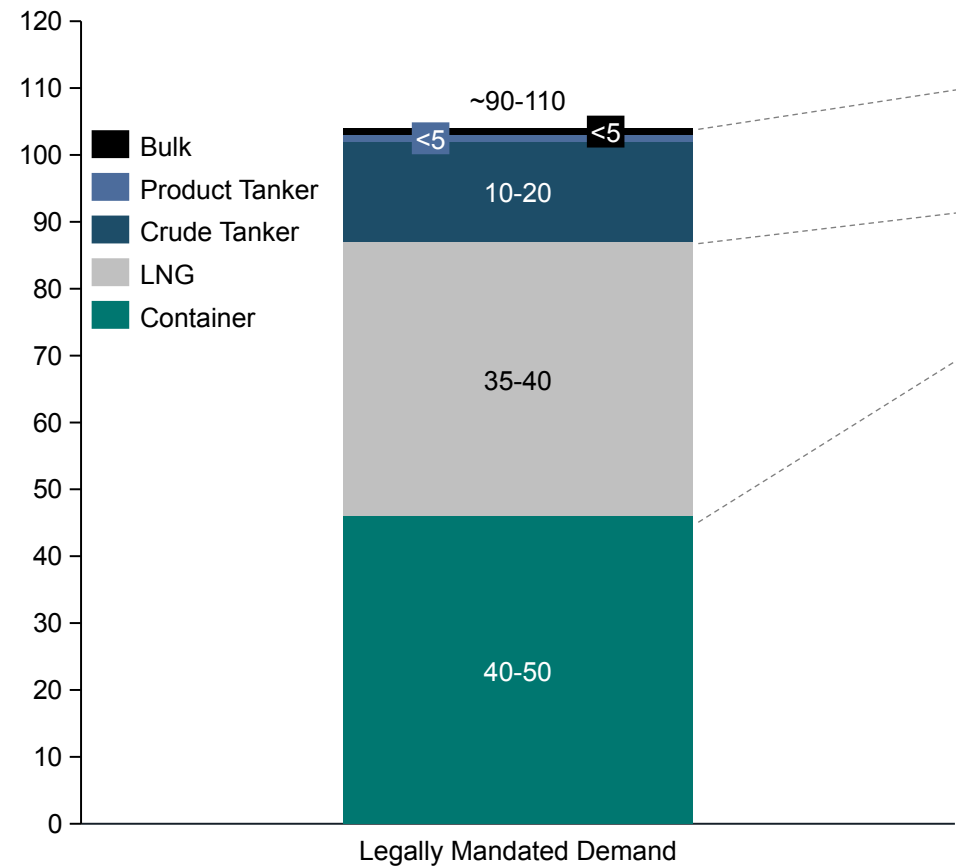
Specific Company Comps for Annual MR Opex (\$M, '25E)



Note: (1) OSG opex found by subtracting '23 Jones Act product tanker "Vessel Operating Contribution" from Time Charter Earnings in 2023, adding pro rata dry-dock expense, dividing by relevant days, and inflating at ~2% CAGR from 2023-2025; 2023 was the last full year of OSG's publicly-reported results due to Saltchuk taking OSG private in 2024; (2) Annual opex found by adding Drewry dry-dock costs for 10-year old vessels to reported vessel operating expenses as companies shown capitalize dry-dock expenses and do not report MR-specific dry-dock expenses | Source: MARAD; 46 U.S. Code § 53406; Drewry; OSG; Hafnia; Scorpio Tankers; Torm; S&P Maritime Intelligence Risk Suite; Clarksons; Market participant feedback

Bar Charts

SCF Supported by Legally Mandated Demand (# vessels)



Legally Mandated Demand from SHIPS Act Provisions			
Provision (Bill Section) Vessel Type Impacted	% of Cargo (Start – ramp end)	US-Built	US-Flagged
Crude Exports from the US SEC. 420 Crude Tankers	3% to 10% 2027-2040	Yes	Yes
LNG Exports from the US SEC. 420 LNG Ships	2% to 15% 2027-2047	Yes	Yes
China Imports to the US SEC. 415 Containerships	1% to 10% 2031-2040	Yes	Yes
US Government Cargo Preference SEC. 411 Containerships & Bulk	50% to 100% 180 days after bill passage	No	Yes
USDA Program Exports SEC. 418 Containerships		No	Yes

Vessel types Sealift Command needs in a contingency are precisely the ones the bill fails to incentivize.

Note: Captive demand considers current cargo volumes, growth rates, and annual vessel capacity (driven by number of trips / year, cargo capacity, and utilization)
Source: S&P Panjiva; Clarksons; SHIPS Act text; EIA AEO LNG Export Table; EIA AEO Crude Export Table; EIA Crude Tanker Descriptions; GAO Report on Government Preference Cargo

Tables

Opex Categories	Impact on Cost Differential vs. Foreign	Rationale (Source)	Additional Detail
Crew	High	US crew cost differential vs. foreign driven by structural factors including • Manning Requirements: – Two full crews for rotations – 100% of officers and 75% of unlicensed crew must be US citizens (Market participant feedback; 46 USC 8103) • Compensation: – Licensed officers average ~\$290K fully burdened – Unlicensed personnel average ~\$185K fully burdened – Mariner shortage intensifies wage competition (Market participant feedback; Heritage; WSJ)	 First Officer Average Annual Salary: \$222,921 + up to a \$71,090 BONUS  Third Officer Average Annual Salary: \$156,502 + up to a \$57,414 BONUS  Electronics Technician Average Annual Salary: \$148,763 + \$67,243 Bonus  Assistant Cook Average Annual Salary: \$89,947 <i>Military Sealift Command job postings substantiate US rates, and commercial operators pay ~10-20% above MSC (MSC job postings; Indeed)</i>
Insurance	Moderate	• H&M premiums driven by 4-6x higher replacement cost of US-built hull vs. foreign • P&I premiums inflated by Jones Act crew injury liability (46 USC 30104)	<i>“The maritime industry...is facing a new and formidable challenge: the rise of “nuclear verdicts” in personal injury cases, particularly those involving Jones Act seamen...typically defined as verdicts of \$10 million or more.”</i> <i>“The unpredictability and magnitude of nuclear verdicts are having a direct impact on the cost and availability of insurance for maritime employers.” – Blank Rome</i>
Repair & Maintenance Dry-Dock	Moderate	• R&M cost differential vs. foreign driven by policy and wage factors – Increased R&M costs due to 50% ad valorem duties on foreign repairs (Heritage Foundation; Title 19 – Customs Duties) – Analogous US labor ~2-7x greater than foreign counterparts i.e., shipyard workforce (USTR; BLS; news websites)	<i>“Purchases for or repairs made to certain vessels while they are outside the United States are subject to declaration, entry, and payment of ad valorem duty.” – 19 CFR Part 4 § 414</i>

Flow Charts

Chart reads from bottom to top

